1. Market Research

- Process of collecting, recording, and analyzing data regarding customers, competitors, and markets.

1.1. Purpose of Market Research

- Overall size: Is it a potential return on investment worthy of entering the market?
- How fierce the competition is.
- Is the market for the product in terms of sales growing or shrinking?

Need for market research

1. To reduce risks associated with new product launches
   - Market research helps investigate the potential demand for a product.
   - It allows firms to check the market conditions before launching a product
   - It identifies consumer needs and tastes, helps test the product idea and packaging design with potential customers, and pre-tests the brand positioning and advertising. It even aids during the product launch and after-launch periods.
2. To predict future demand changes
   - Allows businesses to predict future economic/social changes which might affect demand
   - It gives businesses time to plan and implement effective strategies to tackle the future demand changes
3. To explain patterns in sales of existing products and market trends
   - Conducting market research for existing products helps firms understand potential future changes in consumer tastes, preferences, incomes, etc., and helps identify demand changes.
4. To assess the effectiveness of the marketing strategies used
   - Conducting market research after implementing a few marketing strategies like changed promotion, etc will allow a business to understand the effectiveness of these strategies in achieving the long-term marketing goal
   - It helps identify whether or not the business is required to change its strategies and tactics to remain successful
5. Know consumer feedback
   - Investing in market research will allow a firm to know customer feedback regarding the perceived strengths, weaknesses, packaging preferences, sales and distribution methods, etc
6. Identify competitors their USP and differentiate the product
   - Market research helps identify competitors and their product differentiation strategies. It allows the business to adapt and modify their USP accordingly

1.2. The Market Research Process

1. Identify the problem and define the objective
   - Identify the purpose of the research to ensure unnecessary data is not collected.
   - After identifying the problem, research objectives are set. These are always in the form of questions.
2. Determine research design
   - Deciding whether to use primary research secondary research or a mix of both
3. Design and prepare the research instrument
   - Identifying the most suitable method of data collection in terms of cost and time.
4. Sampling and collecting data
   - Choosing a sample size and method
5. Analyse data
6. Visualise and communicate results
   - Representing the data in the forms of bar graphs, pie charts, line graphs, etc.

1.3. How Market Research assists NPD

New Product Development	Correlation to Market research
Identify consumer needs and likings	Primary and Secondary research into consumer needs and potential competition
Product vision and packaging design	Experimenting the product and packaging with consumer group
Brand positioning and trial of advertisement	Pre-testing the product image and promotion
Product launch and after-launch period	Overviewing sales and consumer feedback

1.4. Primary Research

- Also known as field research
- It is when businesses collect first-hand data for their own needs
- Benefits –
  - Up-to-date information
  - Relevant information
  - Confidential
- Drawbacks –
  - Expensive
  - Time-consuming
  - Doubts over accuracy and validity (due to sample size)

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.

Primary Data Collection Methods

Method	Details	Benefits	Limitations
Questionnaire (Postal, in-store, online, and mobile phone, etc.)	Questionnaires can include detailed, open questions which give qualitative and quantitative data.	Cost-effective for reaching a large audience.	
Low response rates may skew results.	Easy to analyse and compare feedback.	Limited depth of information due to predefined answers	
Interview (Face to face or mobile phone.)	Interviews allow personal contact with respondents. Follow-up questions can be asked.	Provides in-depth, qualitative data.	time-consuming and expensive.
		Allows for follow-up questions, which assists in a detailed understanding of feedback.	Potential interviewer bias can influence the responses of interviewees.
Observation (seeing which décor or advertisement of a shop attracts customers.)	If people know they are being observed, they could behave differently.	It captures candid behaviour in real-time.	Can be intrusive to potential customers, making them uncomfortable , altering their behaviour.
		Useful for understanding consumer behaviour according to context and environment.	Difficult to interpret without additional data.
Test Marketing (In certain geographical location.)	The results might indicate whether the national launch of a new product will achieve sales targets.	Provides real-world feedback before a full launch.	
Costly and time-consuming.			
		Decreases the risk by identifying issues early and rectifying them.	Competitors might observe and react accordingly.
Focus Group (Conversation with potential or existing consumers, with goal of gaining qualitative data)	It encourages debate between consumers about a product or advertisement. Discussion is observed and recorded.	Assists gathering diverse opinions and ideas quickly.	Group dynamics can lead to biased results.

1.5. Difference between Primary and Secondary Data and Evaluation:

Primary Data:

- Collected firsthand for a specific research purpose.
- Usually more accurate and up-to-date but time-consuming and costly to gather.

Secondary Data:

- Already collected by others for a different/similar purpose.
- Easier and cost effective relatively to obtain but may be outdated or not entirely relevant to the current research.

Evaluation of changes in Market Research in Recent Years:

- Electronic methods: Businesses are now using electronic methods like mobile surveys and loyalty card data to collect marketing information. Retailers can overview/monitor what customers buy and who they are, allowing their marketing strategies to be more precisely targeted and cost-effective. This means promotions are aimed at products customers are most likely to buy, reducing wasted/low R.O.I advertisement.
- Social media: It is changing market research as it allows developed software to utilise the usage of social media, chat apps and behaviourial data. This combination assists in understanding respondent's thoughts, ideas and emotions. It reaches an advanced level such input appear as image, sound and video.
- Online marketing: It allows businesses to conduct cost effective research by acquiring the benefit of pre-made questionnaires, surveys etc. Customers can fill them conveniently through their electronic devices. Pre-recorded text/survey request can be automatically presented and analysed electronically.
- They are becoming less expensive and more accessible but a question persists, is it worth the expenses? is it cost-effective? Well, the evidence show that well-planned and focused market research has high R.O.I by giving higher revenue and profit.

1.6. Secondary research

- Collection of data from second-hand sources
- It is also known as desk research
- It is gathering data which has already been collected
- Advantages –
  - Cheap
  - Assists planning of primary research
  - Less time consuming
  - Allows comparison between different sources

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.

- Drawbacks –
  - Maybe outdated
  - Not available for new products
  - May not be accurate
  - May not be suitable to the business

Types –

1. Government publications
2. Local libraries and government offices
3. Trade organisations
4. Market intelligence reports
5. Newspapers and specialist magazines and publications
6. Internal company records
7. The internet

Every business, first, carries out secondary research and only if the data which exists is not relevant or no data exists like for newly developed products, primary research should be conducted.

1.7. Sample size

- It is impossible to survey every member of the target population
- This is because the market is too extensive and it is impractical to contact every member in terms of time and money
- Therefore, businesses choose a sample size and choose people accordingly to act as a representative of that sample
- Usually, larger the sample size, more confidence the business has in their results as they are likely to be more accurately
- Major constrains in selecting the sample size – time and money

1.8. Accuracy of Primary Research (evaluation points)

1. Sampling bias
   - Time and cost constrain make it impossible to question the entire target market which leads to biased answers
   - Higher the sample size, more accurate the results are likely to be
2. Questionnaire bias
   - This may occur when there are many leading, misunderstood questions asked. This may lead the respondent to answer in a certain way, leading to inaccurate results
3. Other forms of bias
   - The respondent may not be truthful

1.9. Measure of a set of quantitative data:

These are the 4 most frequent methods used to measure a set of quantitative data:

Arithmetic Mean:

Value calculated by totaling all the results and divided by the number of results.

Example: Sadman has 5 subjects. His subjects are scored out of 10 with 8 being A grade. He got 6, 8, 8, 9 and 9 in his 5 subjects out of 50. His mean/average grade will be 8 which is a by 6+8+8+9+9=40, 40/50=0.8 or 80%.

Uses:

- Used to estimate expected sales over time, helping to decide when to reorder stock.
- Helpful for comparing different data sets, like football club attendance.

Advantages:

- Takes all data into account when calculating.
- The most common average, easy to use and understand.

Disadvantages:

- Can be influenced by very high or low results, skewing the data which can be a misrepresentative of the average.
- Often results in a number that isn't whole which might be unhelpful in decision-making.

Mode:

The value that occurs the most in a set of data.

Example: If in a data set of 1000 of a survey asking people their favourite anime and if 500 of them answer X instead of Y, Z or W, then the mode is X.

Uses;

- It can be utilized during ordering/reordering inventory, seeing the most wanted size or product type to ensure all the goods are sold.

Advantages:

- No calculation is required as proper observation is sufficient.
- Results comes out in whole number, making it simple to understand.

Disadvantages:

- It does not account all the data, thus further analysis cannot take place.
- There might be more than one modal result, leading to possible confusion.

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.

Median:

The median is calculated using the following formula:

Median = $^{\text{number of values} + 1}/_{2}$

Where n is the number of values in the dataset.

Example: if the value is 5, then;

Median= 5+1/2= 3th value is the median.

Uses:

- It can be used in wage negotiation
- It can be used for advertisement

Advantages:

- It is less influenced by extreme results/outliers.

Disadvantages:

- Complicated calculation when there is a set of data.
- Not applicable for use in further statistical analysis.
- It will result in estimated value in case of an even number.

Range:

Difference between highest and lowest value. Example: Out of 200% in Business Theory of AS level. X scored 88% and due to Grade threshold, he got A* as the range for top 10% students was 85% to 90% of the Raw marks, meaning the range is 5% and he has 96% on his result certificate.

Uses:

- It shows the variability of the data set.
- It helps compare the spread between different data sets.

Advantages:

- Easy to calculate.
- Thus, gives result fast of how variable the data set is.

Disadvantages:

- It can become misleading if there is an extreme result/outlier
- It does not tell how it distributed the data set, leading to limited measure of how spread out the data is.

1.10. Measure of a set of qualitative data:

- Tables: Present data in a precise, structured format for easy reference and comparison.
- Pie charts: Show proportions of data relative to the whole, useful for visualizing percentages and comparing sets of results.
- It also has an equation=

  Angle of Section (Pie Chart) = (Value of one section / Total value of all sections) × 360 degrees

- Line graphs: Ideal for displaying trends and changes in data over time, highlighting fluctuations.
- Bar charts: Use bars of varying height to compare values, useful for comparing different items or changes over time.

1.11. Quantitative Data:

Numerical data that can be statistically analysed.

Benefits:

- It is easy to analyze and identify trends.
- It provides measurable, generalizable results.

Limitations:

- It lacks depth in understanding behaviors.
- Limited by predefined questions that leads to a certain direction.

Qualitative Data:

Non-numerical data, which provides insight into the detailed motivations of consumers and helps to explain their buying behaviour or opinions. quantitative data: numerical results from research that can be statistically analysed.

Benefits:

- It assists business to a deeper insights into motivations behind consumer behaviour.
- It allows flexible, detailed responses.

Limitations:

- Harder to analyze due to potential biases.
- Results might not be widely applicable.

Copyright © 2025 ZNotes Education & Foundation. All Rights Reserved.
This document is authorised for personal use only by Sadia Ali at Enderun Colleges on 06/04/26.